HPL Electric & Power Ltd

Concall Tracker · Q2 2027 (quarter ended Sep 2026) · NSE: HPL · BSE: 540136 · Prepared 11 Nov 2026

1. Snapshot

What the business does: HPL makes low-voltage electrical gear in seven plants in north India. Two halves: **Metering** (electricity meters, mostly the new smart meters that utilities and the private installers called AMISPs, Advanced Metering Infrastructure Service Providers, are fitting across India) and **Consumer & Industrial (C&I)**: wires and cables, switchgear (circuit breakers and switches), lighting and fans sold through 900+ dealers and about 90,000 shops. It earns a margin on making and selling these.

Market cap	₹1,701 cr at ₹264 a share. The price tag the market puts on the whole company, a small-cap.
P/E	18.7x. Buyers pay about ₹19 for each ₹1 of yearly profit, a modest rating for the sector.
Revenue	FY26 ₹1,858 cr, trailing twelve months ₹2,097 cr. Sales have more than doubled since FY21 (₹850 cr).
Net profit	FY26 ₹83 cr, a touch below FY25's ₹87 cr. Sales grew but profit didn't: interest and depreciation eat a big slice.
Operating margin	14% in FY26, down to 11% in the Sep 2026 quarter. Out of every ₹100 of sales, about ₹11 is left as operating profit now.
Debt	Borrowings ₹774 cr (Sep 2026), up from ₹620 cr in Mar 2025. Interest of about ₹90 cr a year takes roughly a third of operating profit.
Returns	ROCE 12.9%, ROE 9.3%. It earns about 13 paise per rupee of capital, only fair for the debt it carries.

2. Concall coverage

Quarter	Call date	Read?
Q2 FY24 → Q3 FY26 (10 calls)	Nov 2023 → Feb 2026	Skimmed for promises and guidance
Q4 FY26	17 Jun 2026	Deep-read
Q1 FY27	11 Aug 2026	Deep-read in full
Q2 FY27	6 Nov 2026	**Transcript not filed yet**. Results, press release and investor deck (5 Nov 2026) read instead

Twelve calls, about three years. HPL holds a call every quarter, so the consistency read is solid. The Sep 2026 call happened but its transcript wasn't on Screener, NSE or the company site on 11 Nov; the latest-quarter facts below come from the filed results and deck.

Latest update highlights: Q2 FY27 (results 5 Nov 2026)

- **Record sales, flat profit.** Revenue ₹608 cr, up 40% on last year and the first quarter above ₹600 cr. Profit ₹23.4 cr, up only 5%. Sales are racing; profit isn't following.
- **Cables are the story.** Wires & cables sales ₹178 cr, up 159%. The first half alone is about 95% of all of FY26. C&I is now 55% of sales, up from 47% a year ago.
- **Margins squeezed.** Operating margin 11.7% vs about 14% a year ago. Metering segment margin fell to 12.3% from 17.6%; C&I to 8.9% from 11.1%. Management blames metal and plastic costs after the West Asia conflict, plus the mix moving toward lower-margin cables. Price and mix actions are "underway" for the second half.
- **Order book shrinking.** ₹2,700 cr on 2 Nov 2026, down from ₹3,200 cr in May and August. Over 96% is metering, about two and a half years of metering sales.
- **Small housekeeping:** subsidiary Himachal Energy became 100% owned on 29 Oct 2026 after a buy-back.

2c. Business mix & capacity

Domestic vs export: not broken out; it's almost all India. A Middle East utility has just approved HPL's meters (Aug 2026), the first real export step. **Capacity:** about 11 million meters, 194 million metres of cable, 16 million switchgear units a year. Management says capacity "is not an issue" and capex now is mostly maintenance, after the heavy FY25-26 build. No utilisation figure given (last stated: metering at 70-75% back in Nov 2023).

3. Earning-trigger thesis

Two engines. **Smart meters** give a long order book from the national roll-out (about 7 crore of a planned 22-25 crore meters installed, deadline pushed to March 2028). **C&I**, led by cables, is the faster engine: dealer and shop reach keeps widening, a new switch range (Cairo) launched, and management targets about ₹1,000 cr of C&I sales in FY27, already ₹615 cr in the first half. The catch is profit. Margins have dropped two quarters running, debt and depreciation are up after the capex, and so sales growth of 30-40% is turning into near-zero profit growth. The trigger is real on the top line; it hasn't reached earnings yet.

Trigger	What management said	Evidence so far	Horizon	Strength
C&I scale-up (cables first)	"Next 12 to 18 months will be very strong", ₹1,000 cr C&I in FY27 (Jun 2026)	H1 C&I ₹615 cr, cables +159% in Q2; volume, not just copper price	Now	Strong on sales, weak on margin
Smart meter order book	Two years of visibility, enough AMISP orders "for aggressive growth" (Aug 2026)	Metering +18% in Q2, but order book down to ₹2,700 cr	2-3 years	Moderate: few new tenders
Margin recovery	Back to old levels "as we reach Q3" for C&I; metering takes an extra quarter (Aug 2026)	Q2 margin fell further	H2 FY27	Unproven
New products: data-centre cables, water/ gas meters, exports	Data-centre cables by May-Jun 2027; Middle East approval	Nothing in sales yet	FY28+	Unproven

3b. Trigger check

Trigger type	Yes/ No	What was said (date)
Debt cut	No	"No immediate reduction", debt to stay at this level (Jun 2026)
New business	Yes	Data-centre cables with global certifications "by May-June of next year"; Middle East utility approved its meters (Aug 2026)
Margin up	No	Margins fell; management only hopes to restore them
New management	No	Same team
New capacity	No	Capex mostly maintenance now (Aug 2026)
Big orders	Yes	Order book ₹3,200 cr, "visibility would be two years" (Aug 2026); ₹2,700 cr by Nov
Turnaround	No	n/a
Promoter buying	No	Promoter stake flat at 72.66%

Single concrete driver: wires and cables sold through a fast-growing dealer and shop network are scaling C&I toward ₹1,000 cr a year, while the smart-meter order book keeps metering growing.

3c. Margin bridge

Operating margin about 11.7% now vs about 14% a year ago. Why: metal and crude-linked plastic costs jumped from February 2026 with the West Asia conflict, and smart-meter prices are fixed in contracts; Haryana's minimum wage rose about 40% in May; and cables, a lower-margin product, are a bigger share of sales. Management calls the cost part temporary ("one or two quarters") but has now missed its own recovery hope once. (one-off, unproven)

4. Management consistency scorecard

Period	What was promised	What happened	Verdict
Nov 2023	Win 25-30% of the smart-meter roll-out	Big supplier to several AMISPs, but share not disclosed	Too-early
Jun 2024	Keep debt flat while scaling	Borrowings ₹585 cr → ₹774 cr	Missed
May 2025	Metering margin 17-18%, C&I about 11.5-12%	Held through FY26; Q2 FY27 metering 12.3%, C&I 8.9%	Partly
Nov 2025	FY26 revenue around ₹1,900-2,000 cr	₹1,858 cr	Partly
Feb/Jun 2026	C&I near ₹1,000 cr in FY27	₹615 cr in H1	On track
Aug 2026	Margins improve from Q1 levels, C&I back by Q3	Q2 margin lower again	Too-early (slipping)

Narrative drift: the core story has held for three years: smart meters plus a growing consumer business. What has drifted is the profit side. Margin guidance was firm in 2025 and is now "hopefully" and "out of our control"; the debt-flat promise was broken by the capex. Gautam Seth is open about the misses on calls and avoids hard numbers, which is honest but leaves little to hold him to.

5. Bottom line: two verdicts

Durable earning trigger? → MAYBE

Sales growth is real and broad: cables, lighting and switchgear are all growing and the meter order book still covers about two years. But it isn't turning into earnings. Profit was flat for a year through rising costs, interest and depreciation, and the order book has started shrinking. It becomes a YES when margins come back and profit grows with sales.

Management consistent? → MAYBE

They deliver on sales targets and the C&I push, but have missed on margins and debt, and the revenue guide for FY26 fell a little short. The story is steady; the profit promises are not.

6. Checkpoints for next quarter

- Operating margin climbs back above the Sep 2026 quarter level
- C&I stays on pace for about ₹1,000 cr in FY27
- Order book stops falling (new AMISP orders at or above ₹2,700 cr)

Not investment advice. Do your own due diligence. Sources: Screener.in financials and 12 concall transcripts; NSE filings of 5-6 Nov 2026 (results, press release, investor presentation). The Q2 FY27 call transcript was not yet published.